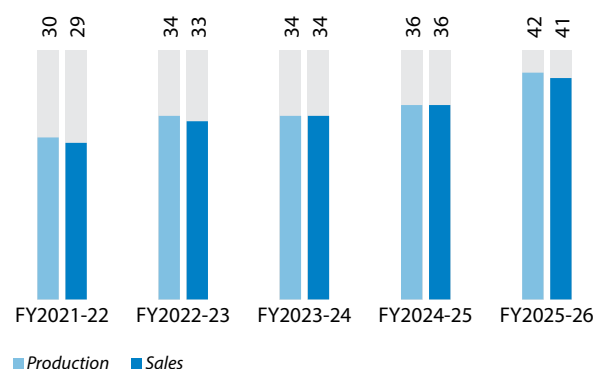


The production and sales performance is as below:

Production and Sales of Bearing division (k tonnes)



During the year under review, the division produced ~42 million numbers and achieved deliveries of ~41 million numbers, marking an increase of ~5 million over FY2024-25. The division focused on enhancing productivity and boosting retail sales while maintaining tight control over costs.

Year in review

- › The Bearings Division achieved its all-time best sales volume of 41 million numbers in FY2025-26.
- › The Bearings Division has developed and commercialised new products for Electric Vehicles, Commercial Vehicles and Aftermarket space.
- › The Bearings Division aims to sustain its market positioning with respect to share of business with key OEMs, while also focusing on FY2026-27 as a pivotal year to revitalise and strengthen its channel positioning.
- › Division continued its innovative skill transition program, 'Kriyaveer', a specially curated skill development initiative designed to elevate the technical and operational capabilities of our shop floor workforce by leveraging the deep experience of our retired employees, who serve as expert trainers known as Dronacharya.

b) Marketing and Sales

FY2025-26 marked a year of structural strengthening and disciplined growth for the Company's Marketing & Sales function. Against a backdrop of steady domestic demand and global economic turmoil, Tata Steel delivered total sales of 22.53 MT, a growth of ~8% over FY2024-25, making FY2025-26 the highest-ever year for domestic sales volumes.

This performance was an outcome of value maximisation, driven by downstream capability expansion, brand-led retail penetration, and deeper participation in national infrastructure and industrial growth. Domestic deliveries including transfers increased to 20.49 MT, while exports rose sharply to 2.04 MT, reflecting improved market access and competitiveness while reinforcing Tata Steel's leadership across diversified end-use segments.

	(mn tonnes)	
	FY2025-26	FY2024-25
Automotive & Special products	3.40	3.11
Branded Products, Retail & Solutions	7.31	6.98
Industrial Products & Projects	7.21	7.25
Domestic	17.92	17.34
Exports	2.04	1.22
Domestic + Exports	19.96	18.56
Transfers (Tinplate*, Wires, Tubes, IBMD, Agrico)	2.57	2.38
Total Deliveries	22.53	20.94

* Tinplate sales volume has been included in Transfers instead of IPP in FY2025-26.

Automotive and Special Products (19% of Domestic sales) : Localising and Strengthening India's Automotive Backbone

In FY2025-26, India's automotive sector sustained its growth momentum supported by favourable policy frameworks, improving rural demand and rising export momentum. Passenger Vehicles grew by 9% Y-o-Y, while Commercial Vehicles expanded 10% Y-o-Y, driven by fleet replacement and robust demand from infrastructure, mining and construction activities. Within this evolving industry landscape, Tata Steel strengthened its leadership position in the automotive segment, delivering 3.39 MT during the year (9% Y-o-Y growth) which reflected a clear alignment between market demand, rapidly expanding customer requirements, and the growing contribution of its Downstream capabilities.

A defining milestone was the scale-up and stabilisation of the Continuous Annealing Line ('CAL') and Continuous Galvanising Line ('CGL') at Kalinganagar and Gamharia. These assets significantly enhanced Tata Steel's ability to localise high-value automotive steels, reduce import dependence, and deliver consistent quality and application-specific solutions across vehicle platforms.

The downstream ecosystem enabled accelerated new product development in Advanced High Strength Steels ('AHSS') and Ultra High Strength Steels ('UHSS'), enabling stronger participation in new model introductions across both Passenger and Commercial Vehicle segments. During the year, CAL secured 17 OEM approvals, including outer panel grades for newly launched Utility Vehicle and high strength structural AHSS and UHSS grades for multiple Passenger Vehicle platforms. CGL achieved 9 OEM approvals, covering

wide-width outer panel grades for Commercial Vehicles and high-strength structural grades for Passenger Vehicles.

During the year, Tata Steel also commenced commercial supplies of Hot Rolled AHSS, enabling OEMs to progress their lightweighting initiatives while maintaining structural integrity and cost competitiveness.

Complementing flat products, the Combi Mill at Gamharia strengthened Tata Steel's presence in high performance automotive applications that demand precision tolerances and mechanical reliability. During the year, the facility supplied high end speciality steels for Passenger Vehicles, two wheelers and bearing applications, reinforcing relationships with customers embedded in the engineering and component ecosystem.

As part of its digitisation drive, Tata Steel has implemented a real time customer support experience for automotive customers using a mixed reality solution. This allows Tata Steel experts to remotely support customers, review issues in 3D, and collaboratively develop solutions within the customer's production environment, resulting in quicker problem resolution.

Beyond products, Tata Steel continued to invest in relationship capital, expanding service centre coverage, deepening Early Vendor Involvement, and collaborating through Value Analysis-Value Engineering models. Multiple Supplier Excellence awards reaffirmed the Company's ability to convert innovation and partnership into sustained value for customers and stakeholders.

The Company's outstanding achievements have been recognised through an array of prestigious awards, including Value Excellence award from multiple customers, an Overall Performance Award for dedication and commitment to excellence, and a Supplier Excellence Award, amongst others. Additionally, the Company has celebrated joint milestone achievements with key OEMs, reinforcing its longstanding relationships and superior performance in the automotive sphere.

Branded Products and Retail (41% of Domestic sales): Scaling Reach & Deepening trust

FY2025-26 was a landmark year for the Branded Products and Retail ('BPR') business, which now contributes 41% of domestic sales. The portfolio delivered record sales of 7.31 MT, reflecting a 5% Y-o-Y growth, anchored by brand strength, strategic capacity expansion, product innovation, enhanced customer engagement and digital transformation. A strategic milestone during the year was the inauguration of the Electric Arc Furnace ('EAF') at Ludhiana, Punjab, India adding 0.75 MTPA of low emission steelmaking capacity. This development underscores

Tata Steel's commitment to sustainable growth and its transition toward greener steel manufacturing technologies.

Branded Flat Products reached an all-time high of 4.89 MT, growing 7% Y-o-Y. The commissioning of the CAL at Kalinganagar enabled Tata Steelium to surpass 1 MT in annual sales for the first time since its launch in 2003. The introduction of branded Zero Spangle Galvanised Steel from the new CGL further strengthened the value proposition. Retail engagement deepened considerably through focused rural outreach and channel engagement efforts, strengthening connections across farming communities, dealers, and fabricators, and reinforcing brand affinity and partner motivation nationwide.

Tata Tiscon recorded its highest-ever retail sales at 2.42 MT, supported by continued expansion of its distribution footprint and deepened market penetration, reinforcing its strong nationwide presence. The Urja dealer finance program sustained its upward trajectory and continued to scale as a strategic enabler to improve capital efficiency and support sustained growth across the distribution ecosystem.

Product innovation continued to remain a defining theme with the launch of Tata Tiscon SDCR (Super Ductile Corrosion Resistant), a corrosion-resistant rebar designed specifically for Individual Home Builders ('IHBs') in coastal districts, addressing critical durability challenges in high salinity environments. Tata Tiscon launched Easy EMI - first ever Consumer Finance Initiative in construction sector, designed for the underserved consumers. In FY2025-26, Tata Steel reached the milestone of extending loans to Individual Home Builders across territories, expanding affordability in retail steel consumption.

Digital transformation gathered momentum with the rollout of the Tisca Chatbot, enhancing lead management for 22,000+ influencers and dealers. The Consumer Champion programme was scaled across key markets, acting as a strategic lever to drive incremental demand and strengthen Tata Tiscon's overall sales performance, through proactive and personalised customer support. Meanwhile, the deployment of the Techlab mobile testing unit enhanced customer assurance by strengthening awareness on product selection and enabling transparent, on-site quality validation, thereby reinforcing trust and credibility at the consumer interface.

The brand celebrated its 25th anniversary and secured the Superbrand distinction for the eighth consecutive year, reinforcing its leadership position in the market. Skill development initiatives—including the Samarth program in collaboration with leading technical institutions, further strengthened stakeholder capabilities across the construction ecosystem.

In FY2025-26, Tata Steel acquired the residual stake in Tata BlueScope Steel, now renamed Tata Steel Colors Private Ltd.

(‘TSCPL’), which now operates as a subsidiary of the Company, strengthening its downstream value-added solutions portfolio. TSCPL achieved its highest-ever sales volume of 0.52 MT in FY2025-26, representing a robust growth of approximately 10% over the previous fiscal year. Integration has enabled innovation in roofing and wall cladding solutions, supporting key infrastructure projects across sectors.

Industrial Products, Projects and Exports (40% of domestic sales): Partnering India’s Infrastructure and Industrial Growth

The Industrial Products, Projects & Exports (‘IPPE’) business delivered 9.25 MT in FY2025-26, with a strategically balanced mix of domestic deliveries (7.21 MT) and exports (2.04 MT).

Tata Steel remained deeply embedded in India’s infrastructure transformation, supporting ~771 km of oil & gas pipelines, 56 million sq. ft. of PEB structures, 20,000 construction equipment units, and 5.9 GW of solar mounting structures. Plate-fabricated construction solutions scaled to serve 11+ major infrastructure projects, supported by an expanded network of fabrication centres at Faridabad, Purnia, and Nagpur, augmenting the existing Jamshedpur facility. These strengthened capacities improved responsiveness to demanding project requirements, reinforcing customer confidence and positioning the Company as a trusted partner for high-value infrastructure and industrial developments, such as data centres, airports and power plants.

Engineering segments achieved its highest-ever sales of 980 KT, driven by enriched product mix, strong customer engagement, new product introductions and new customer acquisitions across Railways, Construction & Projects, and PEB segments. Certifications from ABS (American Bureau of Shipping) and DNV (Det Norske Veritas) strengthened the shipbuilding portfolio, while exports to key Middle Eastern Oil & Gas projects expanded international presence.

Downstream flat products grew 9% Y-o-Y, supported by capacity expansion at TSK and strong demand in consuming segments for Cold Rolled, Galvanised, and Colour-coated products. Customer experience was further elevated through enhanced service capabilities and the commissioning of new high-end service centres for colour-coated steel.

Downstream long products recorded 7% Y-o-Y growth with 404 KT of sales. Flagship solutions continued to gain strong market traction, with Tiscon ReadyBuild achieving its highest-ever sales of 372 KT (3% Y-o-Y) and Sm@rtFAB growing 80% Y-o-Y to 32 KT, reflecting increasing preference for solution-led, execution-ready offerings.

Tata Steel further strengthened its downstream footprint by achieving a dominant share in critical infrastructure projects across domestic and international regions. This was anchored

by securing dominant share in high-value infrastructure projects such as Prayagraj Railway Station Redevelopment Project, Mumbai - Ahmedabad Bullet train project and Hanimaadhoo International Airport project in the Maldives.

Customer engagement was strengthened through targeted initiatives such as ‘Converse to Construct’, enabling closer collaboration with channel partners and end-users. The commissioning of a state-of-the-art Construction Service Centre in Guwahati further expanded last-mile delivery capabilities, taking Tata Steel’s Downstream network to across multiple centres, and supporting large-scale semiconductor, power, industrial, and public infrastructure projects.

Innovation and execution excellence remained at the forefront with the launch of the Mobile Bore Pile Cage in Guwahati. A significant milestone was achieved in bridge construction technology with the dispatch and successful installation of the first InQuik bridge components for the Varanasi–Ranchi–Kolkata Highway vehicular underpass—marking Tata Steel’s first proof-of-concept project and advancing the transition towards faster and more efficient infrastructure development.

Service & Solutions: Integrated Value Creation

The Services & Solutions business delivered a strong performance in FY2025-26, led by Nest-In’s exceptional growth and Tata Pravesh’s continued expansion of service excellence. Nest-In recorded over 98% Y-o-Y growth in its order book, driven by accelerated project execution, customer centric delivery models, and the adoption of advanced construction technologies.

A series of landmark projects underscored Nest-In’s execution strength. These included the completion of over 100 Anganwadi centres using Light Gauge Steel Frame (‘LGSF’) technology, enabling rapid, durable, and scalable construction for community infrastructure. A notable highlight was the fabrication of a Zero Energy Building (‘ZEB’)—a steel based prefabricated facility engineered to produce as much energy as it consumes. Completed in record time, the ZEB stands as a testament to Nest-In’s capability in delivering sustainable, future ready infrastructure characterised by a low carbon footprint, high durability, and modular design flexibility.

Tata Pravesh, the Company’s steel doors and windows solutions brand, further strengthened its market position, achieving an NPS of 82 in FY2025-26, up from 74 in FY2024-25. This improvement was enabled by the expansion of the ‘SmartCare’ Authorised Service Centre network across multiple locations, ensuring enhanced service coverage and faster response times. In addition, the brand introduced the SMART TRACK application for ten key accounts, designed to streamline project management and elevate the overall customer experience. By enabling execution partners and

installers to update real time project progress, the platform enhances transparency, operational discipline, and delivery efficiency across the value chain.

Digital Initiatives:

Digital transformation remained central to Tata Steel's customer centric strategy, with integrated platforms enhancing transparency, convenience, and service quality across the value chain.

AashiYana, India's leading home building content to commerce platform, strengthened its reach by serving 1.2 lakh homebuilders through dealers. New tools—including the Building Cost Estimator, Project Planner, Expense Diary, and an expanded design library empowered customers to plan their home building journey with greater precision. Enhanced digital touchpoints such as WhatsApp and chatbot support elevated user experience, reflected in an improved NPS of 81 (up from 78).

For institutional and SME customers, Tata Steel advanced its digital ecosystem through Compass, its real time supply chain visibility platform, onboarding key B2B customers. DigECA accelerated digital adoption among ECAs by offering end to end transparency, integrated financing, technical support, and real time order tracking, achieving ₹2,507 crore GMV with 4,500+ customers onboarded.

TSL Cares, Industry's first GenAI-enabled complaint management platform, achieved 90% digital adoption, setting new benchmarks in responsiveness and transparency. It has become the preferred customer interface, reinforcing Tata Steel's commitment to seamless, technology led service delivery.

c) Engineering & Projects

FY2025-26 has been a remarkable year for the Engineering & Projects ('E&P') Division, marked by the successful completion and approval of several critical, high-impact and strategically important projects across Tata Steel's locations. This year represented a major milestone for Tata Steel with the ramp-up of key facilities under the 5 MTPA Kalinganagar expansion project, the Company's largest project set up till date.

During FY2025-26, the division successfully achieved following milestones across various projects such as:

Raw Material & Others:

- › 60 rooms bachelor accommodation at West Bokaro (April 2025).
- › 4.6 MTPA Iron Ore Processing Plant at Joda (June 2025).
- › Noamundi Railway Station New Building (September 2025) and Line 6 at Noamundi Railway Station (December 2025)
- › Noamundi NOPR Colony Phase II – 288 flats (December 2025) (Total 576 flats in Phase I and Phase II constructed)

Tata Steel Jamshedpur:

- › Sub-lance System at Basic Oxygen Furnace ('BOF') 1&2
- › Cold Rolled Mill Pickling and Tandem Cold Mill upgrade
- › Sakchi New Sub-station
- › Captive Power Plant (Powerhouse 7) new substation
- › Various cranes replacement
- › HSM Furnace-2 skid system revamping (May 2025)
- › F7 mill stand at LD-3 TSCR (July 2025)
- › New Air Separation Unit (July 2025)
- › G-BF relining (August 2025)
- › 0.5 MTPA (bar & wire) Special Bar Quality Combi Mill (October 2025)

Tata Steel Kalinganagar:

- › Cold Rolled Downstream Slitter line (April 2025)
- › Coke Dry Quenching 2 (200 TPH) (April 2025)
- › Steel Melt Shop 3rd converter (April 2025)
- › Coke Oven Battery Plant Battery 3B (1.5 MTPA) (May 2025)
- › 0.47 MTPA Continuous Galvanising Line -1 (June 2025)
- › Reheating Furnace 4 at Hot Strip Mill (June 2025)
- › Blast Furnace#2- 36 MW Top Pressure Recovery Turbine (August 2025)
- › 3 MTPA Twin Slab Caster#3 (August 2025)
- › Air Separation Unit 2 at Plot-2 (August 2025)
- › Lime Calcining Plant 4 (August 2025)
- › Solar Plant, total 19.2 MW (August 2025)
- › Cold Rolled Downstream Wide Cut to Length (October 2025)
- › Coke Dry Quenching (CDQ) 3 (200 TPH) (December 2025)

Tata Steel Meramandali:

- › 220 KV Gas Insulated Switchgear Bay at Main Receiving Sub Station 2 at Meramandali;
- › Hot Strip Mill Furnace#2 Skid system Revamp at Meramandali (December 2025);
- › 390 Cu.Mtr./Hr. Zero Effluent Discharge at Meramandali (December 2025);
- › 7 nos. DE System commissioned at RMPP & RMHS at Meramandali.

Alongside delivering key projects, this year also witnessed final investment approvals for several high-priority projects across Tata Steel such as: New Coke Oven Battery 6A & 6B, Tinsplate 0.3 MTPA expansion, West Bokaro Sustenance project to unlock 8 MT of clean coal, 1st in the world commercialisation of 'EASyMelt' technology towards decarbonisation, 1st reline of 'H' Blast Furnace and Hot Rolled Pickling and Galvanising Line, Front End Load study approval for TSM Growth. TSL Board has also granted in-principle approval for NINL Mega Expansion project subject to the receipt of necessary regulatory approvals. This year, the Company also strengthened the institutionalisation of benchmarked Front-End Loading ('FEL') practices into its project development framework, ensuring enhanced rigor and readiness prior to Final Investment Decision.

VI. FINANCIAL PERFORMANCE

Standalone Performance

1. Tata Steel Limited

During the Financial Year 2025-26, the Company recorded a profit after tax of ₹16,065 crore (previous year ₹13,970 crore). The increase is primarily on account of higher operating profit due to higher sales volume and lower raw material costs due to decrease in prices mainly of coking coal and cost transformation savings initiatives undertaken during the year. The increase in operating profits were partly offset by higher Finance cost due to higher debt in the standalone balance sheet while part of the debt in subsidiaries was repaid. Depreciation and amortisation charge increased due to additional capitalisation of facilities during the year. The basic and diluted earnings for the FY2025-26 were at ₹12.87 per share (previous year: basic and diluted: ₹11.19 per share).

The analysis of major items of the financial statements is given below:

a) Revenue from operations

(₹ crore)

	FY2025-26	FY2024-25	Change (%)
Sale of products	1,36,445	1,29,304	6
Sale of power and water	1,518	1,562	(3)
Other operating revenue	1,757	1,651	6
Total revenue from operations	1,39,720	1,32,517	5

During the year under review, sale of products was higher by ~6% as compared to the previous year, primarily due to higher steel deliveries by 1.58 MT owing to higher production partly offset by slightly lower average realisation compared to last year. Sale of power and water decreased in line with decrease in demand. Other operating revenue increased by ~6% compared to previous year.

b) Purchases of stock-in-trade

(₹ crore)

	FY2025-26	FY2024-25	Change (%)
Purchases of stock-in-trade	5,076	9,826	(48)

During the year under review, Purchases of stock-in-trade was lower as compared to the previous financial year primarily due to lower purchase value of traded rebars from group companies (NINL and TSTH).

c) Cost of materials consumed

(₹ crore)

	FY2025-26	FY2024-25	Change (%)
Cost of materials consumed	47,979	44,089	9

During the year under review, cost of materials consumed increased primarily due to increase in production. This is partly offset by decline in imported coking coal prices despite higher quantity.

d) Employee benefits expense

(₹ crore)

	FY2025-26	FY2024-25	Change (%)
Employee Benefits Expense	7,756	8,010	(3)

During the year under review, the employee benefits expense decreased primarily due to reduction in employees count and actuarial gain partly offset by salary revisions and its consequential impact on retirement provisions.

e) Depreciation and amortisation expense

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Depreciation and amortisation expense	7,069	6,253	13

The depreciation charge during the year is higher as compared to the previous year due capitalisation of major facilities for Tata Steel Kalinganagar phase-II expansion.

f) Other expenses

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Other expenses	46,803	42,396	10

Other expenditure represents the following expenditure:

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Consumption of stores and spares	6,062	6,477	(6)
Repairs and maintenance	5,135	5,858	(12)
Relining expenses	178	204	(13)
Power, fuel and gases	7,527	7,111	6
Conversion charges	2,440	2,410	1
Freight and handling charges	7,739	7,702	0
Rent and hire charges	526	463	14
Mining premium and Royalties	5,449	5,137	6
Rates and taxes	3,099	1,884	64
Insurance charges	210	229	(8)
Commission, discounts and rebates	290	339	(14)
Allowance for credit losses/ provision for advances	18	(5)	436
Other expenses	8,481	5,361	58
Less :-Expenditure (other than interest) transferred to capital & other accounts	(351)	(774)	(55)
Total Other expenses	46,803	42,396	10

Other expenses were higher as compared to the previous financial year primarily due to increase in other expenses on account of write back of liabilities no longer required in FY2024-25, decrease in foreign currency exchange gain. Increase in rates and taxes due to increase in Jharkhand Mineral Bearing Land Cess in FY2025-26 and reversal of old liability for water charges during FY2024-25. Increase in Royalty charges mainly due to increase in quantity and rate. Moreover, there was decrease in repair and maintenance cost mainly on account of major planned shutdowns in FY2024-25 which was not in FY2025-26.

g) Finance costs and net finance costs

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Finance costs	5,117	4,238	21
Net Finance costs	3,515	2,343	50

During the year under review, finance costs increased primarily on account of higher interest on Debentures owing to fresh draws towards end of FY2024-25 along with higher interest on term loans owing to fresh utilisation during the year. Higher interest on commercial papers attributable to higher balances during the year. The increases were partly offset by lower interest on other loans on account of lower bank discounting charges.

Net finance charges were higher in line with higher finance cost and lower interest income.

h) Exceptional items

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Exceptional items	(1,099)	(902)	N.A.

The details of exceptional items for the current year and previous year are as follows:

- › Provision for Impairment of non-current assets ₹120 crore on partially retained assets as part of sale of Jajpur Ferro Chrome Plant. (previous year: Nil)
- › Provision for Impairment of loan/investments/interest receivable - ₹828 crore (previous year: ₹75 crore).
- › Restructuring and other provisions – ₹109 crore (previous year: Nil).
- › Contribution to Electoral Trust Nil (previous year: ₹173 crore).
- › Statutory Impact of New Labour Code amounting to ₹73 crore (previous year: Nil)
- › Provision for Employee Separation scheme ('ESS') under Sunehere Bhavishya Ki Yojana ('SBKY') scheme and other schemes amounting to ₹317 crore (previous year: ₹671 crore).
- › Profit on sale of non current assets ₹322 crore on Jajpur Ferro Chrome Plant (previous year: Nil)
- › Fair valuation gain on investments classified as fair value through profit and loss (net) amounting to ₹26 crore (previous year: gain of ₹17 crore).

i) Property, plant and equipment ('PPE') including intangibles and right of use assets

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Goodwill	13	13	-
Property, Plant and Equipment	1,09,060	93,204	17
Capital work-in-progress	19,220	34,189	(44)
Intangible assets	843	920	(8)
Intangible assets under development	795	671	18
Right of use Assets	5,976	5,343	12
Total PPE including intangibles & right of use assets	1,35,907	1,34,340	1

The movement in total PPE including intangible is higher primarily on account of capitalisation of major facilities for Tata Steel Kalinganagar and mines, which was offset by depreciation and amortisation charge during the year.

j) Investments

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Investment in Subsidiary, JVs and Associates	85,307	64,214	33
Investments - Non current	9,222	8,485	9
Investments - Current	0	0	(12)
Total Investments	94,529	72,699	30

The increase in investments was predominantly on account of fresh investment made during the year in T Steel Holdings Pte. Ltd., Tata Steel Colors Private Ltd. and Thriveni Pellets Private Limited. Increase in non-current investments is mainly due to interest accrued on preference shares of Neelachal Ispat Nigam Limited, partly offset by decrease in the market value of quoted investments.

k) Inventories

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Finished and semi-finished goods including stock in trade	8,243	7,878	5
Work-in-progress	0	0	N.A.
Raw materials	10,329	10,385	(1)
Stores and spares	4,487	4,671	(4)
Total Inventories	23,059	22,934	1

Finished and semi-finished inventory increased as compared to previous year mainly due to increase in scrap inventory and semi finished inventory. Finished goods inventory is at par with previous year.

Raw materials have decreased over previous year due to decrease in inventory of chrome ore, imported coking coal inventory partly offset by increase in Iron ore inventory.

Stores and spares inventory decreased over the previous year as a result of structured drive to reduce inventory.

l) Trade receivables

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Gross trade receivables	1,861	1,796	4
Less: allowance for credit losses	229	230	(1)
Net trade receivables	1,632	1,566	4

Trade receivables increased marginally as compared to that of the previous year inline with increase in sales.

m) Gross debt and Net debt

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Gross debt	69,049	63,223	9
Less: Cash and Bank balances (incl. Non-current balances)	3,299	4,250	(22)
Less: Current investments	0	0	(12)
Less: Foreign currency hedges against borrowings	664	149	343
Net Debt	65,086	58,824	11

Gross and Net debt was higher due to utilisation of various term loans and debentures during the year for funding capital expansion projects and investments, along with net borrowings of short-term loans during the year.

n) Cash Flows

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Net Cash from/(used in) operating activities	31,961	23,506	36
Net Cash from/(used in) investing activities	(25,663)	(34,232)	25
Net Cash from/(used in) financing activities	(6,497)	9,281	(170)
Net increase/(decrease) in cash and cash equivalents	(199)	(1,445)	86

Net cash flow from/(used in) operating activities

During the year under review, the net cash generated from operating activities was ₹31,961 crore as compared to ₹23,506 crore during the previous year. The cash inflow from operating profit before working capital changes and direct taxes during the current year was ₹32,458 crore as compared to inflow of ₹25,681 crore during the previous year due to increase in operating profits. Cash inflow from working capital changes in FY2025-26 is mainly due to increase in financial liabilities / provisions ₹4,564 crore partly offset by increase in current/non-current financial assets by ₹606 crore and increase in inventory by ₹225 crore. The income taxes paid (net of refund for earlier years) during the current year was ₹4,230 crore as compared to ₹2,688 crore during previous financial year.

Net cash flow from/(used in) investing activities

During the year under review, the net cash outflow from investing activities amounted to ₹25,663 crore as compared to ₹34,232 crore during the previous year. The outflow during the current year broadly represents purchase of investments in subsidiaries ₹24,166 crore and capex of ₹8,814 crore. Further cash inflow during the year represents repayment of loans given amounting to ₹5,116 crore, sale of capital assets ₹1,186 crore, dividend income received ₹567 crore and interest received ₹467 crore.

Net cash flow from/(used in) financing activities

During the year under review, the net cash outflow from financing activities was ₹6,497 crore as compared to an inflow of ₹9,281 crore during the previous year. The outflow during the current year broadly represents repayment of long-term borrowings ₹9,385 crore, interest paid ₹6,067 crore, dividend paid ₹4,494 crore. The outflow was partly offset by proceeds from long-term borrowings ₹8,245 crore and net proceeds from short-term borrowings ₹5,338 crore.

o) Changes in Key Financial Ratios

The change in the key financial ratios as compared to previous year is stated below:

	FY2025-26	FY2024-25	Change (%)
Inventory Turnover (days)	62	67	(7)
Debtors Turnover (days)	4	4	0
Current Ratio (Times)	0.58	0.69	(16)
Interest Coverage Ratio (Times)	8.08	9.94	(19)
Debt Equity (Times)	0.53	0.47	11
Net Debt Equity (Times)	0.50	0.44	13
EBITDA Margin (%)	23.64	21.29	11
Net Profit Margin (%)	11.50	10.54	9
Return on average Equity (%)	12.25	10.43	17

2. Neelachal Ispat Nigam Limited ('NINL')

Neelachal Ispat Nigam Limited, located at the Kalinganagar Industrial Complex in Odisha, continued to strengthen operational stability and performance improvement during FY2025-26. As an important part of Tata Steel's long-products ecosystem, NINL contributes to the Group's downstream value creation while leveraging captive iron ore resources to support long-term raw material security. During the year, NINL delivered strong improvements across safety, operational excellence, sustainability and financial performance, reinforcing its commitment to responsible growth and operational efficiency.

The turnover and profit/(loss) of NINL for FY2025-26 are as follows:

	(₹ crore)	
	FY2025-26	FY2024-25
Turnover	5,282	5,701
EBITDA	1,236	1,067
Profit before tax (PBT), before exceptional	184	(13)
Profit before tax (PBT)	66	(14)
Profit after tax (PAT), before exceptional	185	(166)
Profit after tax (PAT)	68	(167)

The production and sales performance of NINL is given below:

	(mn tonnes)		
	FY2025-26	FY2024-25	Change (%)
Crude Steel	0.95	0.95	0
Saleable Steel	0.91	0.90	0
Sales	0.91	0.90	0

During FY2025-26, NINL produced 955 KT of crude steel (FY2024-25: 953 KT) and 908 KT of rebars (FY2024-25: 904 KT). Steel deliveries were 907 KT (FY2024-25: 903 KT) due to stable operations during the current year.

Turnover decreased over FY2024-25 by ₹419 crore primarily due to lower net realisation of steel and decrease in coke sales during the year. EBITDA improved significantly by ₹169 crore mainly due to decline in input costs. The profit after tax of FY2025-26 at ₹68 crore against a loss of ₹167 crore in FY2024-25 is primarily due to better operational performance during the year.

Year under Review

FY2025-26 witnessed several operational milestones reflecting improved plant stabilisation and process optimisation. Operational performance was achieved

despite challenges such as Blast Furnace outage and heavy rainfall affecting mining and logistics activities during parts of the year.

- › Steel Melting Shop achieved best ever annual crude steel production of 955 KT against the previous best of 953 KT in FY2024-25.
- › Sinter Plant achieved best ever annual net sinter production of 1.34 MT against the previous best of 1.32 MT in FY2024-25.
- › The plant achieved lowest-ever internal rejection of 0.12%, reflecting improved process control and quality management practices.
- › Achieved lowest ever annual PHCC Coal percentage use in Coal blend i.e. 26% in FY2025-26 against the previous best of 38% in FY2024-25 resulting in a significant reduction in coke cost.
- › Key reductions in raw material consumption were also achieved, including lowest lime consumption of 73.1 kg/tcs and lowest ferro-alloy consumption of 23.87 kg/tcs.
- › Operational reliability was further strengthened with a record BOF vessel life of 8,023 heats, significantly higher than the previous benchmark of 6,153 heats.
- › Process innovations implemented during the year included the Fly Tundish concept in billet casting, which improved casting sequence length and productivity.

Strategy:

NINL will play a critical role in Tata Steel's long product growth aspirations as it gets transformed into a state-of-the-art long products complex.

NINL has captive mine to meet the Group's Iron ore requirements.

Safety and Sustainability:

- › NINL was honoured with the 'Ispat Suraksha Puraskar' by the Joint Council on Safety, Health & Environment in the Steel Industry ('JCSSI') for achieving Zero Fatal Accident performance in an Integrated Steel Plant for calendar years 2023 and 2024. This recognition highlights the organisation's strong safety culture and alignment with Tata Steel's goal of eliminating workplace injuries.
- › NINL Mine has bagged 1st Prize in Overall Performance & four prizes in different categories in B3 group of

mines at the 43rd Annual Mines Safety Fortnight observance 2025.

- › A Mini Safety Leadership Development Centre (Mini SLDC) with the objective of strengthening and promoting in house training of workforce was established at the Mines.
- › During the year, the Know your threat programme was introduced to strengthen hazard identification and risk awareness. Around 700 employees and contractor workforce participated in the initiative.
- › To improve workforce engagement and welfare, NINL launched 'Shram Sampark', a grievance redressal platform for contract workers, aimed at addressing workplace concerns and strengthening trust across the extended workforce.
- › Health and wellness initiatives included blood donation camps, collecting 112 units of blood, and health and eye check-up camps covering more than 240 drivers and vendor employees.
- › During the year, the plant received Environmental Clearance ('EC') and Consent to Establish ('CTE') for 6.2 MTPA capacity, an important milestone supporting long-term expansion plans.
- › Plant received enhanced Consent to Operate ('CTO') of 1.16 MTPA Production for FY2026-27 against the last CTO of 0.981 MTPA production.
- › NINL Mine has successfully secured approval for the renewal of its Mining Plan for 2026–31 from the Indian Bureau of Mines, Bhubaneswar marking an important regulatory milestone.
- › NINL achieved 100% utilisation of Process Solid Waste, including Blast Furnace and LD slag, supporting circular economy principles and reducing environmental impact.
- › Extensive plantation initiatives were undertaken to enhance the green cover. Under the 'Ek Ped Maa Ke Naam 2.0' campaign, more than 6,000 saplings were planted across plant and mining areas. In addition, three-tier plantation along transportation and dispatch routes was initiated to control fugitive emissions and improve environmental conditions.
- › NINL Mine bagged 2nd Prize on May 25, 2025 in Environmental Monitoring on the eve of 26th Mines Environment and Mineral Conservation ('MEMC') Week Celebration organised by Indian Bureau of Mines ('IBM'), Bhubaneswar.

- › FY2025-26 performance reflects continued focus on sustainability, achieving reductions in specific fresh-water consumption and stack emissions, and full solid waste utilisation, while CO₂ emissions intensity witnessed a marginal increase and remains an area of focused improvement.

3. Tata Steel Downstream Products Limited ('TSDPL')

TSDPL is a leader in the Flat Products Steel Service Centre business & acts as a bridge between steel producers and end-customers. It is in the business of processing Steel coupled with services like Just-in-time delivery, small lot supplies, inventory management, credit facilities, inspection, packaging and distribution.

The turnover and profit/(loss) figures for the Financial Year 2025-26 are as follows:

	(₹ crore)	
	FY2025-26	FY2024-25
Turnover	8,134	7,374
EBITDA	425	348
Profit before tax (PBT)	(22)	255
Profit after tax (PAT)	(57)	215

Turnover increased over FY2024-25 by ₹760 crore primarily due to higher deliveries on account of higher demand during the year. EBITDA has increased by 22% compared to last year mainly due to improved deliveries. The loss after tax of FY2025-26 at ₹57 crore compared to profit after tax ₹215 crore was lower due to higher exceptional charge due to non-cash provision for impairment of investment in 50% equity shares of Tata Steel Colors Private Ltd. This impact was reversed in Tata Steel Consolidated accounts.

Against the backdrop of a dynamic macroeconomic environment, fluctuating steel demand, and cost pressures, TSDPL remained focused on strengthening its downstream leadership position. By prioritising value-added offerings, deepening customer engagement, and driving operational efficiencies, TSDPL continued to reinforce its role as a key enabler in the value chain of Tata Steel. The year was marked by disciplined execution, digital acceleration, and a continued emphasis on sustainability and people-centric growth which helped TSDPL achieve both its highest ever despatches as well as highest-ever EBITDA levels. TSDPL's performance for FY2025-26 can be summarised under its 6 strategic priority framework.

Safety & Sustainability: FY2025-26 witnessed intensified efforts towards achieving a zero-harm workplace through robust behavioural safety programmes, contractor safety management and enhanced mechanisation controls to improve material handling. Regular training, and leadership line-walks strengthened awareness and accountability at all levels. On the sustainability front, TSDPL focused on various initiatives w.r.t increased usage of renewable energy, recycling of consumables and circular economy practices.

Customer: Strong emphasis was placed on reliable, consistent and faster deliveries as well as resolution to customer complaints. TSDPL strengthened relationships with key accounts through engagement initiatives such as Elevate and Milaap, technical support, and solution-driven approaches. Additionally, digital platforms were leveraged to improve order visibility, communication, and customer feedback mechanisms, thereby improving overall satisfaction and loyalty.

Growth: TSDPL added ~1.3 MT processing Capacity through its new Steel Service Centres ('SSCs') at Sanand and Kalinganagar. These new SSCs have state-of-the-art facilities capable of processing hi-tensile steel. TSDPL also installed new processing lines within its existing SSCs at Jamshedpur and Ranjangaon.

Operational Excellence: TSDPL continued to grow sales (~10%) across sectors such as automotive, appliances, construction, and infrastructure which resulted in a strong performance in FY2025-26. Continuous improvement initiatives on enhancing productivity, yield and horizontal deployment of TQM principles under Company's flagship 'Lakshya' program delivered highest-ever EBITDA savings for TSDPL. Efforts were also made to strengthen supply chain synergies with TSL. Better Credit Risk Management, customer-financing initiatives and inventory management contributed to improved operational stability.

Digital & Innovation: TSDPL implemented Enterprise-level Projects such as Connected Operations Platform (CoP) to capture real time production data to drive productivity, quality, predictive maintenance and enhancing overall plant performance. TSDPL leveraged robotics, automation and digital tools to improve operational efficiency, quality control, and decision-making. Cybersecurity coupled with strong IT infrastructure continued to remain a strong focus area to enable TSDPL to stay agile and competitive in an evolving industry landscape.